INTERNAL · NOT FOR CLIENT

Tier rationale Encircled.

Growth + Studio at launch.
Enterprise when AR multi-way, wholesale, or EU residency triggers.

Audience · Internal only
Use · Reference for the conversation; never share with the brand
Status · Draft for discussion

THE RECOMMENDATION

Growth ($3,500) + Studio ($750) = $4,250/mo at launch.

Encircled has more editorial volume than other clients at this scale because every piece needs a multi-way style library and a repair workflow. Studio is mandatory and especially important here. Starter is disqualified; Enterprise is premature.

WHY STARTER IS DISQUALIFIED

Single-platform / 5-screen / no-AI is incompatible with the proposition.

STARTER CONSTRAINT	ENCIRCLED REALITY
Single platform	Both — CA/US customer base mixed iOS/Android. International travellers skew iOS.
5 screens	Phase 1 is ~18 screens including The Many, The Capsule, The Atelier.
No AI	Multi-way styler, capsule builder, repair triage, fit chat — all core to value.
24h email support	Repair tickets need same-day routing — slow response damages the lifetime-guarantee promise.

If the brand pushes for Starter on price, walk away. The lifetime repair workflow alone needs faster than 24h response.

WHY GROWTH FITS PHASE 1

Standard fit. Same as the other small-batch sustainable brands.

GROWTH FEATURE	WHAT IT DELIVERS FOR ENCIRCLED
Both stores, RN + Expo	Single codebase; OTA matches small-collection drop cadence.
Claude Sonnet + Haiku	Sonnet powers multi-way styler + Atelier chat. Haiku batches FR translations.
RevenueCat	Future-proofs subscription capsule-curation or "Loops Plus" membership.
Apple + Google sign-in	Reduces install friction.
ASO quarterly	"Travel clothing", "multi-way", "Canadian sustainable" all matter for discovery.
2 releases / month	Drop cadence + multi-way library updates demand a regular rhythm.
Shared Slack, 4h response	Right level for a B Corp at launch.

STUDIO ADD-ON ($750/mo)

Mandatory and especially important here — this is the ops portal, not just content.

Encircled's Studio runs more than provenance content. It runs the repair queue (live operations), the multi-way style library (design IP), and the capsule template library (editorial). More functional than other clients; slightly higher real cost.

COMPONENT	REAL COST / MO	MARGIN NOTES
Web hosting	$20–40	Often shared with mobile API
DB delta (multi-way library, repair tickets, capsule templates)	$10–25	Higher than other clients due to repair-ticket volume
Object + video storage (8 styles × N pieces × short-form video)	$15–40	Multi-way video library is the swing factor
Editorial AI (multi-way drafts, FR translations, repair triage)	$25–70	Multi-way + multilingual editorial work
Email + push (repair status updates, drop alerts)	$10–25	Repair tickets generate tx email volume
Auth (~25 internal seats — editors, repair ops, founder, concierge)	$0	Free tier on Supabase / Clerk
Subtotal infra + AI	**~$80–200**	**Slightly higher than other clients due to repair ops**

MARGIN AT $750/MO

Real cost ~$140/mo (mid-band). Includes ~5 maintenance hrs/mo + Studio releases aligned with mobile cadence. Gross margin ~75% before maintenance hours consumed. Healthy.

STUDIO ONE-TIME BUILD COST

Roughly **$32–48K** on top of the mobile build. 9 modules in Phase 1: auth + multi-way style editor + repair queue (the most complex single module — vision triage + status tracking + label printing) +

capsule template library + drop scheduler + concierge inbox + Loops admin + analytics + transparency report. Higher end of range due to repair-ops integration.

WHY ENTERPRISE IS PREMATURE

Three reasons to hold the upgrade.

1. AR multi-way is Phase 2

Phase 1 has no AR. RN delivers everything in scope. Native modules matter when AR multi-way preview goes live.

2. Wholesale portal is Phase 2

SSO + audit logging + RLS hardening are needed when MEC, Away, hotel-shops come online.

3. EU residency not yet contractual

EU shipping is fine on a multi-region storefront. Data-residency clauses become contractual once EU volume becomes material.

4. SLA mismatched to launch

1h response 24/7 (Enterprise) is for live-revenue partners. The web store carries the revenue. 4h is right for the app.

YEAR-2 UPGRADE TRIGGERS

Move them to Enterprise the moment any one fires.

TRIGGER	WHY IT FORCES THE UPGRADE
AR multi-way preview goes live	Stable on-body AR with cloth simulation needs native Swift / Kotlin modules.
Wholesale / travel-retail B2B portal	SSO + audit logging + RLS — required for partners like MEC, Away.
EU GDPR data-residency clause	EU storage and processing as European traveller volume grows.
24/7 1h SLA	Major retail partner makes uptime a contract clause.
Repair ops scale-out	If repair-ticket volume hits 200+ tickets/month, more sophisticated logistics integration may need Enterprise tooling.

LIKELIHOOD BY MONTH 12

AR: **medium-high** — natural fit for the multi-way story. Wholesale: **medium-high** — MEC partnership conversations likely. EU residency: **medium**. Repair scale-out: **medium** — depends on volume.

DEAL-MAKING TACTICS

How to anchor and protect the conversation.

- **Lead with the multi-way + repair value props, not features.** "8 styles unlocked instead of 3" and "lifetime repair in one tap" are concrete outcomes. Sell those.
- **Studio is mandatory.** The repair queue lives there. Without it, repair ops fall back to email — defeats the whole proposition.
- **Pre-negotiate the Enterprise upgrade path.** Lock the upgrade fee in Year 1.
- **AI overage clause is non-negotiable.** Multi-way styler chat could spike during a viral moment.
- **Repair-volume scale-out clause.** If repair-ticket volume passes 200/month, Phase 2 logistics integration becomes a separate engagement.

WHAT WE DON'T SAY OUT LOUD

Internal-only notes.

REPUTATION RISK TO MANAGE

The brand's promise is "guaranteed for life." If repair tickets pile up because the queue is mismanaged, that promise looks hollow. Insist on a 7-day SLA for repair-ticket triage in our contract — protects them and us.

MARGIN TARGET — COMBINED

Growth tier infra+AI cost at expected MAU (~6K active in Year 1) is roughly $800–1,200/mo. Plus Studio at ~$140/mo. At combined $4,250/mo we're at 65–75% gross before maintenance dev. Healthy.

UPSELL SEQUENCING

Don't propose AR multi-way at the same time as the Phase 1 contract. Land Growth + Studio, deliver The Many and Atelier well, *then* propose AR as the Enterprise trigger.

WALK-AWAY SIGNALS

If they push back on Studio being mandatory, walk. Without the repair queue in the Studio, the lifetime-guarantee promise can't scale and we'd own the operational debt.

RECOMMENDED ASK

Growth ($3,500) + Studio ($750) = $4,250/mo for Year 1. Pre-negotiated Enterprise upgrade. AI overage at cost +20%. Repair-volume scale-out clause above 200/month. Brand-side approval on every customer-facing styling/care/repair claim. $32–48K Studio build inside Phase 1.

Right tier for a B Corp with a documented multi-way library and a real repair operation. The Atelier flow alone justifies the investment.